



Ethical Challenges in Generative AI

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The Myth of Neutral AI

Data



Data Bias Reality

AI datasets predominantly imported from Global North ignore India's linguistic, cultural, and socioeconomic diversity. Marginalised communities—rural populations, caste minorities, women—remain excluded from data collection loops. The result: AI models systematically reinforce caste hierarchies, religious prejudices, and economic inequalities embedded in training data.

❏ **Critical Example:** Translation bias causes severe misinterpretation across India's 22 official languages and hundreds of dialects, leading to discriminatory outcomes in healthcare, education, and legal systems.

Invisible Realities, Biased Algorithms

When AI systems ignore the complexity of Indian society, they perpetuate invisible exclusions that deepen existing inequalities.



Deepfakes and Synthetic Media: Threats to Democracy

2024 Deepfake Incident

Falsely generated video showed Union Home Minister Amit Shah making controversial statements on caste reservation, spreading rapidly on social media

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2

Election Commission Response

Mandated 3-hour takedown requirement for synthetic misinformation during election periods

3

Legal Framework Gaps

Current laws—IT Act 2000, DPDP Act 2023—prove insufficient for addressing AI-specific harms

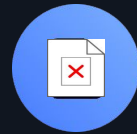
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Judicial Innovation

Courts developing precedents but lack comprehensive AI-specific legislation

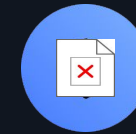


India's Emerging AI Regulatory Landscape



2026 IT Rules Amendment

Introduces "Synthetically Generated Information" (SGI) category with proactive compliance requirements



Multi-Layered Governance

IT Act, DPDP Act, plus sector-specific rules from RBI, SEBI, and TRAI



Soft-Law Principles

NITI Aayog and MeitY promoting responsible AI design through guidelines

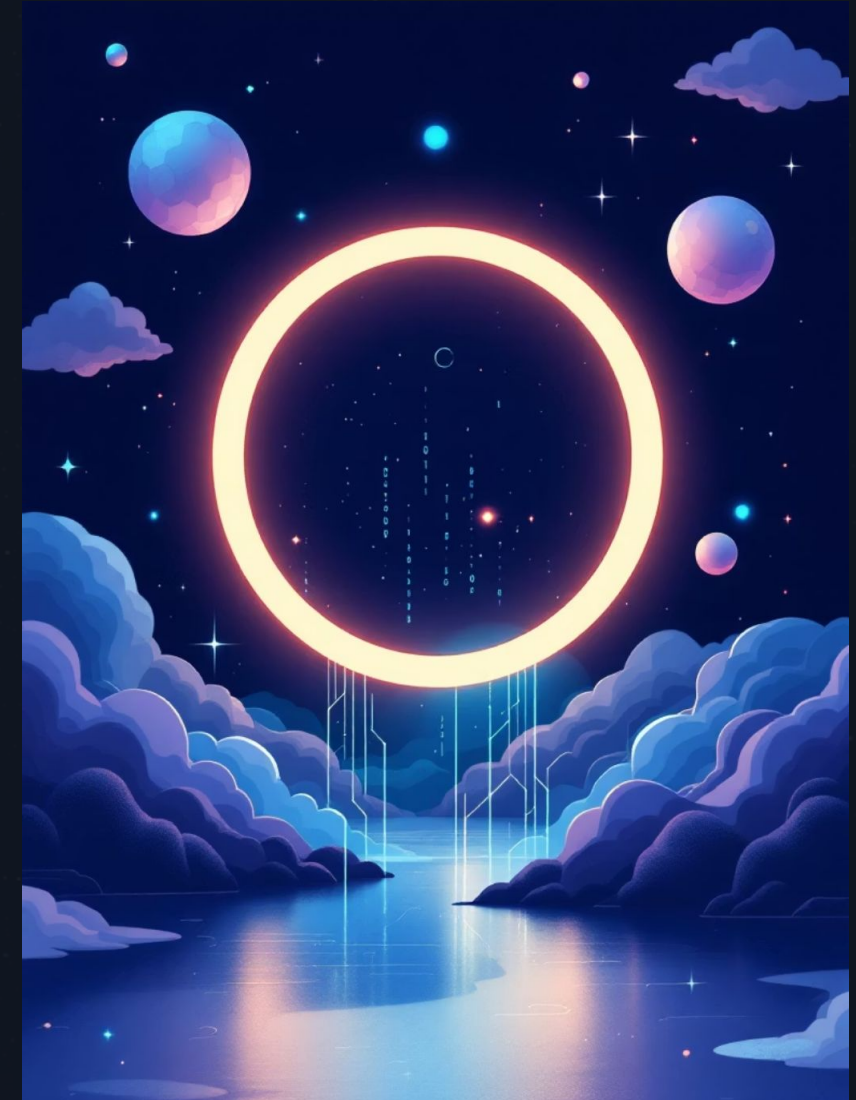
Copyright and Ownership Challenges

Legal Ambiguity

DPIIT Working Paper (December 2025) highlights unresolved copyright issues in AI training data. Current intellectual property laws lack clarity on whether copyrighted works can be used for training AI models without permission.

Rising Conflicts

Asian News International's lawsuit against OpenAI signals growing tensions between AI developers and content creators. The case questions whether AI training constitutes fair use or copyright infringement.



"Clear policy balancing innovation incentives with creators' rights remains urgently needed as GenAI systems increasingly rely on copyrighted material."

The Human Cost: Trust, Inequality, and Accountability

Implementation Failures

95% of global GenAI pilots fail due to integration challenges and unaddressed ethical gaps, wasting resources and eroding stakeholder confidence

Deepening Inequalities

Algorithmic bias risks amplifying social stratification in India's complex caste, class, and religious hierarchies

Trust Erosion

Opaque decision-making processes and lack of accountability mechanisms undermine public trust in AI systems

Capacity Gaps

Urgent need for inclusive AI development processes and widespread capacity-building across sectors



Balancing Innovation with Ethics and Rights

India's judiciary and regulatory bodies face the unprecedented challenge of reconciling technological advancement with constitutional rights and social justice.

Conclusion: Towards Ethical and Inclusive Generative AI



Decentralised Governance

Principled frameworks balancing innovation with accountability



AI-Specific Laws

Comprehensive legislation with transparency mandates



Stakeholder Inclusion

Collaboration between government, industry, civil society

Ethical AI is not merely about regulatory compliance—it represents India's pathway to equitable innovation that serves all citizens, not just the privileged few. The time for action is now.